DD Report — Linear

Linear — series_c

- **Ask:** $200,000,000 at $1,000,000,000 valuation
- **Round:** series_c
- **Website:** https://linear.app- **Founded:** unknown
- **HQ:** unknown

Synthesis

Exec summary

Linear is an $80.0M ARR SaaS company asking $200.0M at a $1.0B valuation, or 12.5x ARR (from DealContext). The price requires 38.3% YoY growth for 7 years and $772.7M terminal revenue (from reverse_dcf). The traction file does not disclose YoY growth, gross margin, burn, net retention, churn, or Magic Number (from DealContext). Public product signal is strong but incomplete: G2 users praise speed and UI while flagging limited customization [3]. The right comps are GitLab, monday.com, and Asana; the failure case is Asana's deceleration after product love [9].

Beliefs Required to Invest

1. We must believe Linear can compound from $80.0M ARR to $772.7M revenue in 7 years (from reverse_dcf).
2. We must believe Linear's undisclosed growth and retention clear a 100th-percentile SaaS underwriting bar (from reverse_dcf).
3. We must believe product love offsets missing diligence on market, founders, burn, churn, and Magic Number (from DealContext).
4. We must believe Linear is closer to GitLab and monday.com than Asana [7][9][10].
5. We must believe the blank cap-table record is a data gap, not a negative signal [ref: coinvestor_lens.md].

Kill Shot

The deal asks investors to underwrite a 100th-percentile SaaS outcome without the inputs that justify one. Market work failed, founder data is absent, cap-table signal is blank, and traction omits growth, retention, burn, churn, gross margin, and Magic Number. Product love exists, but Asana shows that product love can coexist with deceleration [9]. Principle 1 says the strongest failure case is simple: this is a premium-priced growth bet with the growth evidence missing.

1-line bet

Pass until Linear proves 40% growth and 120%+ net retention at $80M ARR.

Recommendation

Pass for now — revisit at disclosed growth, NRR, burn, and founder/cap-table diligence.

Market

Subagent failed: `codex exec timed out after 300.0s`.

Founders

No founder data extracted from the inputs. Add LinkedIn URLs or names to the memo and re-submit.

Traction

Headline metrics

- ARR: $80.0M (from DealContext).
- MRR: not disclosed (from DealContext).
- YoY growth: not disclosed (from DealContext).

- Gross margin: not disclosed (from DealContext).
- Customer count: not disclosed in DealContext.
- Public customer footprint: Linear claims more than 25,000 organizations 1.
- Net retention: not disclosed (from DealContext).
- Ask: $200.0M at $1.0B valuation (from DealContext).
- Implied ARR multiple: 12.5x ARR (analysis from DealContext).
- Latest public financing: $82.0M Series C at $1.25B valuation, led by Accel, with 01A, Sequoia, Seven Seven Six, and Designer Fund participating 2.

Public-comp benchmark

Metric	Linear	Public SaaS distribution	Read
Distribution tickers	SNOW, DDOG, MDB, CRWD, ZS, S, NET, FSLY, ESTC, CFLT, GTLB, TEAM, ASAN, MNDY, HUBS, ZM, DOCN, BOX, DBX, PD, PATH, AI, BILL, TWLO, OKTA, BRZE, SHOP, WDAY, VEEV	29 comps	Universe fallback from supplied comp_distribution.
Actual YoY growth	Not disclosed	p25 13.6%; p50 20.2%; p75 25.9%	Percentile cannot be computed.
Implied revenue multiple	12.5x ARR	p25 2.54x; p50 4.49x; p75 8.69x	Above p75.
Required YoY growth	38.3%	p75 25.9%	100th percentile per supplied reverse DCF.
Closest listed comps	TEAM, ASAN, GTLB	Sector-only match	Growth match is blocked by missing Linear growth.

Rule of 40 cannot be computed because YoY growth and FCF margin are missing (from DealContext).

Magic Number cannot be computed because net-new ARR and sales-and-marketing spend are missing (from DealContext).

Net retention above 110% matters more than headline growth for SaaS compounding [ref: saas_traction_benchmarks.md].

Reverse DCF — the killer output

Required growth is 38.3% YoY for 7 years at a 25.0% terminal FCF margin (from reverse_dcf).

Implied terminal revenue is $772.7M (from reverse_dcf).

Implied terminal FCF is $193.2M (from reverse_dcf).

That required growth sits at the 100th percentile of supplied public-SaaS history (from reverse_dcf).

Terminal FCF margin	5 years	7 years	10 years
15%	66.6%	48.7%	36.6%
20%	57.3%	42.7%	32.7%
25%	50.4%	38.3%	29.8%
30%	45.0%	34.7%	27.4%
35%	40.6%	31.8%	25.5%

You need to believe Linear compounds revenue from $80.0M to $772.7M in 7 years.

That underwriting case sits at the 100th percentile of supplied public-SaaS history.

Independent voice

- G2 shows 4.5/5 across 81 reviews, with users praising speed, ease of use, UI, and integrations 3.
- G2 also flags limited customization, missing features, and lack of tools as recurring cons 3.
- Product Hunt shows 4.9/5 across 394 reviews, with reviewers calling Linear fast and low-friction while flagging rigid workflows and limited board flexibility 4.
- Trustpilot is thin and mixed: 3.4/5 across 8 reviews, including one 2026 complaint about account deletion and one positive MCP review 5.
- Reddit signal is split: users praise Linear versus Jira for speed, but product-management users flag weak roadmap visibility and cross-functional planning 6.

Pattern match

Company	ARR snapshot matched	Outcome	Lesson
GitLab	Near-$100M ARR club in 2019; ARR growth rate 143% 7	Winner	Developer workflow can support premium pricing when NRR and expansion are disclosed.
Asana	Crossed $100M ARR in 2019 8	Stall-out	Product love did not stop deceleration to 9% YoY Q4 FY2026 revenue growth 9.
monday.com	Scaled north of $100M ARR before IPO filing 10	Winner	Broad work management can scale, but Linear has not disclosed comparable retention or CAC data.

Kill Shot

Principle 1: The valuation asks investors to pay 12.5x ARR, above the supplied public-SaaS p75 multiple of 8.69x, while the memo omits YoY growth, gross margin, burn, net retention, churn, and Magic Number. The reverse DCF requires 38.3% YoY growth for 7 years and $772.7M terminal revenue. That is a 100th-percentile public-SaaS growth bet without the metrics needed to prove Linear deserves a 100th-percentile underwriting case.

1-line bet

Buy only if retention is 120%+ and growth is 40% at $80M ARR.

Reverse DCF — model output (raw)

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Ask valuation:            $1,000,000,000
Current ARR:              $80,000,000
Years to terminal:        7
Terminal FCF margin:      25%
Required growth (YoY):    38%Implied terminal rev:    $772,665,346Growth %ile vs publi

> To justify the ask at a 25% terminal FCF margin over 7 years, the company must compo

#### Sweep — required growth at (margin, years)

| Terminal margin | 5 yrs | 7 yrs | 10 yrs |
|---|---|---|---|
| 15% | 67% | 49% | 37% |
| 20% | 57% | 43% | 33% |
| 25% | 50% | 38% | 30% |
| 30% | 45% | 35% | 27% |
| 35% | 41% | 32% | 25% |

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## Co-investors

### Round-by-round funding history

*No private funding rounds were extractable from free-tier search. The company may be

### notice.co secondary-market snapshot

No live notice.co quote available — No notice.co listing found for Linear via web sear

### Cap table summary (current round)

| Investor | Type | Round(s) | Lead? | Why they exist on this cap table |
|---|---:|---:|---:|---|
| — | — | — | — | No investor row can be created because `DealContext.existing_investo

### Smart-money lens

No top-3 investor ranking is possible. The supplied data names no investor and no par

### Expected value-add by investor

No investor-specific value-add can be assigned. Elad’s VC value-add frame is executive

### Round dynamics
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No size, valuation, dilution, lead, pro rata, competitive-process, or signaling detai

### Pattern match

| Historical round | Read-through |
|---|---|
| Facebook seed round | Fund-returner frame for a named high-conviction outside backer
| Slack Series C | Fund-returner frame for collaboration software with major venture v
| Quibi pre-launch financing | Dilution-trap frame for capital quality masking product

### Kill Shot

The red flag is evidentiary. The supplied record has no extractable rounds, no named e

### 1-line bet

No cap-table signal exists; underwrite Linear on primary business evidence, not invest


### notice.co — secondary-market snapshot (raw data)

*No live quote on notice.co — No notice.co listing found for Linear via web search.*
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## References

*No web sources were available during this run.* Inline `[n]` markers in the report re
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